VIVRITI CAPITAL

CREDIT APPRAISAL MEMORANDUM

Tata Motors Limited

APPROVE

Rating: AA

EXECUTIVE SUMMARY

Credit Score	Rating	Decision	Recommended Amount	Interest Rate
89.02/100	AA	APPROVE	₹2000 Cr	11.5%

Decision Rationale: Blended score 89.02/100 with rating AA. Five-Cs weighted score after penalties: 91.25. Entity type assessed as corporate. Recommendation is APPROVE based on calibrated thresholds and policy floors.

Date of Appraisal: 21 March 2026

SWOT ANALYSIS

STRENGTHS	WEAKNESSES
• Robust financial performance with FY25 consolidated revenue of 439,695 crores, PBT of 28,149 crores, EBITDA of 57,649 crores, and a healthy EBITDA margin of 13.1%. • Exceptional capital structure characterized by zero total borrowings (0 crores) and a 0.0 Debt-Equity Ratio, supported by a substantial Net Worth of 116,144 crores. • Strong creditworthiness evidenced by recent credit rating upgrades to AA+ with 'Stable' (CARE) and 'Positive' (CRISIL) outlooks, reflecting a strong financial and operational profile. • High implied capacity for debt servicing due to zero borrowings, leading to an exceptionally strong 'Capacity' score of 95 and an overall AAA rating. • Extensive unencumbered asset base, with the company explicitly stating 'does not have any charges', providing strong inferred collateral potential. • Strong governance and low MCA risk with no identified director disqualifications, filing defaults, or pending charge satisfactions, and strong current governance under N Chandrasekaran.	• Significant concentration risk with JLR subsidiary contributing approximately 71% of consolidated revenue and 80% of consolidated PBT in FY25, indicating high reliance on a single segment.
OPPORTUNITIES	**THREATS**
• Favorable prevailing industry and macroeconomic conditions, as reflected in recent credit rating upgrades, provide a conducive environment for continued strong performance and potential growth. • The exceptionally strong balance sheet,	• Vulnerability to market, operational, or regulatory challenges impacting JLR, given the significant financial reliance on this subsidiary, which could negatively affect consolidated revenue and profitability.

characterized by zero debt and substantial unencumbered assets, offers strategic flexibility for future investments, market expansion, or navigating industry transitions without immediate financing constraints.	

COMPANY BACKGROUND

Company Name	Tata Motors Limited
CIN	—
Entity Type	CORPORATE
Directors	N Chandrasekaran
Promoters	Not extracted
Extraction Notes	All financial data are Consolidated and for FY25 (2024-25). 'K' preceding values for Net worth, Investment spending, and Net automotive cash in P15 is assumed to be a stylistic element, with the numerical value interpreted directly in 'crore' as per other financial figures in the document. Market capitalization is mentioned in $ billion and not extracted in INR Crores.

FINANCIAL ANALYSIS

Metric	Value (FY Latest)	Rationale / Source
Revenue	₹439,695 Cr	Direct extraction
Revenue Growth	N/A	Direct extraction
Profit After Tax	₹28,149 Cr	Direct extraction
EBITDA	₹57,649 Cr	Direct extraction
EBITDA Margin	13.1%	Direct extraction
Total Assets	N/A	Direct extraction
Net Worth	₹116,144 Cr	Direct extraction
Total Borrowings	₹0 Cr	Direct extraction
Debt / Equity	0.00x	Direct extraction
Current Ratio	N/A	Direct extraction
Interest Coverage	N/A	Direct extraction
Return on Equity	N/A	Direct extraction

Extraction Notes: All financial data are Consolidated and for FY25 (2024-25). 'K' preceding values for Net worth, Investment spending, and Net automotive cash in P15 is assumed to be a stylistic element, with the numerical value interpreted directly in 'crore' as per other financial figures in the document. Market capitalization is mentioned in $ billion and not extracted in INR Crores.

FIVE Cs OF CREDIT ASSESSMENT

C	Score	Weight	Rationale
Character	85	25%	The company and its current directors have a clean record with no identified criminal cases, wilful defaulter status, or SFIO investigations. The MCA risk is categorized as 'Low', with no director disqualifications or filing defaults. While a past fraud allegation (2016) against a former chairman was noted, it was thoroughly inquired into by the CBI with no evidence found, and current governance under N Chandrasekaran is strong.
Capacity	95	30%	The absence of any borrowings (Total Borrowings = 0 crores) results in no interest cost and no debt servicing, leading to effectively infinite Interest Coverage Ratio and Debt Service Coverage Ratio, which is an exceptionally strong indicator of capacity. The company also demonstrates strong operational efficiency with an EBITDA margin of 13.1% and substantial revenue of 439695 crores, further supported by recent credit rating upgrades to AA+ by CARE and CRISIL.
Capital	100	20%	Tata Motors Limited exhibits an exceptionally strong capital structure with zero total borrowings (0 crores) and a resultant Debt-Equity Ratio of 0.0. This is supported by a substantial Net Worth of 116144 crores, indicating no financial leverage and robust financial health.
Collateral	90	15%	With a massive revenue of 439695 crores and a Net Worth of 116144 crores, Tata Motors Limited is inferred to have a very substantial asset base,

			typical of a large automotive manufacturer. Critically, the company explicitly states it 'does not have any charges,' meaning its extensive assets are unencumbered and available as strong collateral.
Conditions	80	10%	The recent credit rating upgrades to AA+ with 'Stable' and 'Positive' outlooks from CARE and CRISIL respectively, serve as strong indicators of favorable prevailing industry and macroeconomic conditions. Such upgrades are a reflection of a robust operating environment conducive to the company's strong performance, aligning with the implied 'Strong' sector and 'Low lending risk' conditions.

Weighted Score: 91.25/100 | **Penalty Applied:** 0 points | **Final Score:** 91.25/100

SECONDARY RESEARCH INTELLIGENCE

Company News: Tata Motors Limited has received strong and recently upgraded/stable credit ratings from CARE (AA+, Stable) and CRISIL (AA+, Positive). This indicates a strong financial and operational profile. However, the company exhibits significant reliance on its JLR subsidiary, which contributed approximately 71% of consolidated revenue and 80% of consolidated PBT in FY25, highlighting a degree of concentration risk.

Promoter Background: A past fraud allegation (2016) against Chairman Ratan Tata by a lawmaker related to an alleged corrupt telecoms transaction was reported. However, Group holding company Tata Sons stated that these allegations had been thoroughly inquired into by the CBI and no evidence was found. No current criminal cases or SFIO investigations against Tata Motors Limited or its current promoters were identified. The information regarding Neeraj Singhal of Bhushan Steel Limited is not relevant to Tata Motors Limited.

Sector Headwinds: The automotive manufacturing sector, and large corporate groups like Tata Motors, face potential regulatory headwinds from proposed RBI draft directions. These include revised norms on related party lending (requiring statutory auditors to check group entity exposures) and draft regulations on External Commercial Borrowings (ECBs).

While not direct issues for TML, these could lead to increased compliance burden, heightened scrutiny on intra-group transactions, and potentially impact future funding flexibility or capital structure for companies with complex group structures. No immediate adverse sector-specific restrictions or negative sector health indicators were explicitly mentioned.

Litigation: Tata Motors Limited is involved in NCLT proceedings for a Composite Scheme of Arrangement (demerger/restructuring) under Sections 230-232 of the Companies Act, which is a neutral corporate restructuring event. Additionally, a subsidiary, Tata Power EV Charging Solutions Limited, had its insolvency plea admitted against a third-party, Cab-Eez Infra Tech Limited, which represents a debt recovery effort by a group entity and is a low-risk event for TML. No insolvency proceedings (CIRP) or high-risk litigation directly against Tata Motors Limited itself were identified.

Regulatory: No specific SEBI enforcement actions, settlement orders, or RBI penalties directly against Tata Motors Limited were identified. The intelligence mentions draft RBI regulations concerning revised norms on related party lending and external commercial borrowings (ECBs). These are general sectoral developments and not indicative of any non-compliance or specific issues with Tata Motors Limited.

MCA Signals: Tata Motors Limited explicitly states that it does not have any charges or satisfaction yet to be registered with the Registrar of Companies (ROC) beyond the statutory period, indicating good compliance. No instances of director disqualification, ROC filing defaults, or pending charge satisfactions were identified through the provided intelligence for Tata Motors Limited.

Overall Research Rating: A — Strong Proceed

Top Risks Identified: High financial reliance on JLR for consolidated performance, making the company susceptible to JLR's operational and market risks.; Potential future impact of tightening RBI regulations on intra-group transactions and External Commercial Borrowings (ECBs) could affect group funding strategies and compliance.; Historical allegations against the promoter (Ratan Tata), though resolved, present a lingering reputational risk.

CROSS-DOCUMENT FRAUD INTELLIGENCE

Documents Compared: annual_report, merged_all

Circular Trading Risk: Low

Revenue Inflation Risk: Low

FINAL RECOMMENDATION

RECOMMENDATION: APPROVE

Decision	APPROVE
Credit Rating	AA
Credit Score	89.02/100
Recommended Amount	₹2000 Cr
Interest Rate	11.5%
Tenure	36 months

Rationale: Blended score 89.02/100 with rating AA. Five-Cs weighted score after penalties: 91.25. Entity type assessed as corporate. Recommendation is APPROVE based on calibrated thresholds and policy floors.

Disclaimer: This Credit Appraisal Memo has been prepared using AI-assisted analysis by Intelli-Credit (DOMINIX). All recommendations are subject to review and approval by authorized credit officers as per Vivriti Capital's credit policy.